

REFERME INVESTMENTS

SCORING METHODOLOGY

Investment Evaluation Framework
February - June 2026

Document Control	Details
Document ID	RMI-SCORE-001
Version	1.0
Purpose	Define the proposed 0-100 scoring methodology that converts KPI performance into five dimension scores and an overall Investment Score.
Framework	28 KPIs 5 dimensions KPI normalization weighted dimension scoring overall 0-100 Investment Score
Status	Proposed methodology. Final normalization thresholds, KPI-level weights, recommendation cut-offs and override rules require stakeholder validation/approval.
Source Discipline	This document preserves the project source methodology and does not invent proprietary ReferMe scoring rules.

1. Methodology Objective

The scoring methodology is designed to make service-business investment targets comparable through a common analytical structure. It converts validated KPI performance into normalized scores, combines those scores into five evaluation dimensions, and then calculates an overall 0-100 Investment Score.

2. Scoring Architecture

Validated Inputs → 28 KPIs → KPI Normalization → 5 Dimension Scores → Overall Investment Score → Recommendation Support

Recommendation labels such as Invest / Review / Reject are only to be finalized after business owners approve score thresholds and override rules.

3. Five Scoring Dimensions

Dimension	Proposed Weight	Analytical Purpose
Financial Strength	25%	Assess scale, profitability and cash-generation strength.
Operational Performance	20%	Assess efficiency, cost structure, capacity and service execution.
Growth	20%	Assess customer/revenue expansion, recurring revenue and growth trajectory.
Customer Health	15%	Assess retention, churn, repeat behavior, complaints and concentration.
Risk	20%	Assess volatility, concentration, margin/cash-flow weakness and data quality.
Total	100%	Proposed overall weighting structure.

Control: these dimension weights are methodology assumptions in the project source. They must not be represented as final proprietary ReferMe rules until validated.

4. Step-by-Step Scoring Method

Step	Method	Control / Expected Output
1	Validate required input data before scoring.	Missing, invalid, duplicate or stale data should be visible and should reduce confidence in the recommendation rather than being silently ignored.
2	Calculate applicable KPI values from validated financial, operational, customer and risk inputs.	KPI values must be traceable to approved business definitions and source data.
3	Normalize KPI performance to a common 0-100 scale according to approved thresholds / benchmark logic.	FR-03 requires approved thresholds. Final threshold bands are not established by the source.
4	Apply approved KPI-level weights within each dimension and calculate the five dimension scores.	FR-04 requires approved KPI weights. Complete KPI-level weights are not established by the source.
5	Apply the validated dimension weights to the five dimension scores.	Produces the overall 0-100 Investment Score.
6	Expose the underlying KPI and dimension evidence.	A composite score must not hide a critical weakness.
7	Apply approved recommendation thresholds and override rules.	Produces Invest / Review / Reject only after business approval.
8	Use score/risk changes for monitoring where historical data exists.	Do not fabricate score trends when supporting history is unavailable.

5. Core Formula

$$\text{Investment Score} = \Sigma (\text{Dimension Score} \times \text{Approved Dimension Weight})$$

Under the proposed dimension weighting concept, the weighted contribution of the five dimension scores totals 100% of the overall Investment Score. The methodology requires all final weights to be approved before production use.

6. KPI Normalization Principles

- All applicable KPIs should be transformed to a comparable scoring scale before they are aggregated.
- Higher-is-better and lower-is-better measures require explicit scoring direction; higher risk must not be interpreted as a positive score without an explicit normalization rule.
- Thresholds or benchmark bands must be approved and may require segment-aware treatment where different business models are not directly comparable.
- Missing or low-quality data should remain visible to decision makers and should affect confidence in the result.
- No final threshold table is asserted in this document because the project source does not establish one.

7. KPI-to-Dimension Structure

Dimension	KPI Count	KPIs
Financial Strength	6	Revenue; Revenue Growth %; Gross Margin %; EBITDA Margin %; Operating Cash Flow; Cash Flow Margin %
Operational Performance	6	Revenue per Employee; Operating Cost %; Labor Cost %; Capacity Utilization %; On-Time Service %; Operational Efficiency Score
Growth	5	Customer Growth %; New Customer Acquisition; Recurring Revenue %; Average Revenue per Customer; 12-Month Revenue CAGR
Customer Health	5	Customer Retention %; Customer Churn %; Repeat Customer Rate; Customer Complaint Rate; Customer Concentration %
Risk	6	Revenue Volatility; Customer Concentration Risk; Margin Deterioration; Cash Flow Risk; Data Quality Score; Overall Business Risk Score

8. Source-Provided Illustrative Weighting Example

The project source includes the following example for Financial Strength: Revenue Growth (25%), EBITDA Margin (20%), Cash Flow Margin (20%), Gross Margin (15%), Recurring Revenue (10%) and Revenue Stability (10%). It is explicitly illustrative, not an approved ReferMe weighting scheme.

Important reconciliation point: the project KPI catalogue places Recurring Revenue % under Growth and identifies Revenue Volatility under Risk rather than a KPI named Revenue Stability under Financial Strength. This source-level inconsistency is not silently corrected here; the final KPI-to-dimension mapping and KPI-level weights require stakeholder calibration and validation.

9. Risk and Data-Quality Treatment

- The Risk dimension contains six KPIs, including Data Quality Score and Overall Business Risk Score.
- Incomplete source data is identified in the RAID log as a risk to KPI reliability.
- The methodology should expose dimension/KPI drill-down and any approved override logic so that a strong composite score does not conceal a material weakness.
- Data quality should influence confidence in the recommendation and remain visible in decision-support views.

10. Recommendation Methodology

Stage	Source-Supported Rule
Score calculation	Calculate an overall 0-100 Investment Score using validated weights.
Decision labels	Support Invest / Review / Reject once thresholds are approved.
Thresholds	Final numeric cut-offs are not established in the source and remain subject to business approval.
Override rules	Any override logic must be explicitly approved and documented; no proprietary override rule is asserted here.
Explainability	Users must be able to inspect the five dimension scores and underlying KPIs behind the result.
Confidence	Data-quality limitations should be visible to decision makers.

11. Sensitivity, Calibration and Governance

- Run stakeholder calibration before approving scoring weights.
- Perform sensitivity testing because unvalidated weights can create misleading investment ranking.
- Use segment-aware benchmarks where different business models require different comparison logic.
- Record changes to KPI definitions, weights, thresholds, recommendation logic or dashboard decision views through formal change control.
- Reassess impacted requirements, calculations, dashboards, RTM and UAT scenarios whenever methodology changes.

12. UAT / Traceability

Requirement / Test	Scoring Relevance
BR-03 / FR-03	Convert KPI performance into comparable normalized scores using approved thresholds.
BR-04 / FR-05	Produce an overall 0-100 Investment Score using validated dimension weights.
BR-05	Support Invest / Review / Reject once thresholds are approved.
UT-02	Dimension score equals weighted KPI result using approved weights.
UT-03	Overall score equals approved weighted calculation from the five dimension scores.
UT-04	Correct recommendation label is returned around approved thresholds.

13. Open Items Requiring Business Approval

- Final KPI normalization method for each KPI.
- Final scoring direction and approved threshold/benchmark bands.
- Final KPI-level weights inside each dimension.
- Final dimension weights if the proposed 25% / 20% / 20% / 15% / 20% structure changes.
- Final Invest / Review / Reject cut-offs.
- Any hard-stop / override rules for critical risk weaknesses.
- Segment-specific benchmark logic where business models differ.
- Final Data Quality Score methodology and its effect on recommendation confidence.

14. Methodology Controls

Control	Purpose
Approved definitions	Ensure each KPI has an agreed business meaning and calculation intent.
Weight validation	Prevent subjective or misleading score ranking.
Normalization validation	Ensure unlike KPI units are made comparable consistently.
Risk direction control	Prevent high-risk values from inadvertently increasing attractiveness.
Drill-down transparency	Prevent the composite score from hiding material weakness.
Data-quality visibility	Prevent weak evidence from appearing as high-confidence analysis.
Change control	Maintain traceability when methodology changes.
UAT evidence	Confirm implemented calculations match approved methodology.